Experiment No. 05

PART B

(PART B: TO BE COMPLETED BY STUDENTS)

Roll No.: C60

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Class/Batch: C/C2

Selected Business Idea: NAVRO Livings

Product/Service: Service

Date of Experiment: _____

Date of Submission: _____

Grade: _____

B.1 Observations and Learning

Step 1: Select a Business Idea

Business Name: NAVRO Living

Business Activity: Designing and installing balcony gardens, terrace gardens, and small urban gardening spaces for residential customers.

Step 2: Identify Startup Costs

Sr. No.	Expense Head	Estimated Cost (₹)
1	Gardening tools and equipment	45,000
2	Website and branding	25,000
3	Initial plants, pots and materials	50,000
4	Transportation setup	20,000
5	Registration and legal expenses	10,000
6	Initial marketing and promotion	20,000
7	Working capital	80,000
	Total Startup Cost	2,50,000

Step 3: Identify Monthly Fixed Costs

Sr. No.	Fixed Cost Head	Monthly Cost (₹)
1	Storage or workspace rent	8,000
2	Salaries and helper expenses	18,000
3	Marketing and advertising	6,000
4	Utilities	3,000
5	Transportation and administration	5,000
6	Phone and internet	1,500
7	Miscellaneous expenses	3,500
	Total Monthly Fixed Costs	45,000

Step 4: Identify Variable Cost per Unit

For this calculation, one unit means one average gardening installation project.

Sr. No.	Variable Cost Head	Cost per Project (₹)
1	Plants, pots, soil and materials	3,500
2	Direct labour	1,200
3	Transportation	500
4	Packaging and miscellaneous materials	300
	Total Variable Cost per Project	5,500

Step 5: Decide Selling Price

The average selling price of one NAVRO Living gardening installation project is estimated at ₹10,000. The actual price may vary depending on the size of the space, number of plants, materials and design requirements.

Step 6: Estimate Monthly Sales

Expected monthly sales = 12 gardening projects.

Step 7: Calculate Contribution per Unit

Formula:

Contribution per Unit = Selling Price − Variable Cost per Unit

= ₹10,000 − ₹5,500

Contribution per Unit = ₹4,500

Step 8: Calculate Break-Even Point

Formula:

Break-Even Point (Units) = Fixed Costs ÷ Contribution per Unit

= ₹45,000 ÷ ₹4,500

Break-Even Point = 10 projects per month

Break-Even Revenue = Break-Even Units × Selling Price

= 10 × ₹10,000

Break-Even Revenue = ₹1,00,000 per month

Step 9: Prepare a Simple Profit/Loss Statement

At an expected monthly sales volume of 12 projects:

Particulars	**Calculation**	**Amount (₹)**
Revenue	12 × ₹10,000	1,20,000
Less: Variable Costs	12 × ₹5,500	66,000
Contribution	₹1,20,000 − ₹66,000	54,000
Less: Fixed Costs	—	45,000
Expected Monthly Profit	₹54,000 − ₹45,000	9,000

Step 10: Prepare Financial Analysis

- If the selling price increases while costs remain constant, the contribution per project increases and the break-even point decreases.
- If material or labour costs increase, the contribution decreases and the break-even point increases.
- If monthly fixed costs increase, more projects must be completed to break even.
- If monthly sales exceed 10 projects, NAVRO Living begins making an operating profit under these assumptions.

Financial Plan of NAVRO Living

Particular	**Estimated Value**
Total Startup Cost	₹2,50,000

Monthly Fixed Costs	₹45,000
Variable Cost per Project	₹5,500
Selling Price per Project	₹10,000
Expected Monthly Sales	12 projects
Contribution per Project	₹4,500
Break-Even Point	10 projects
Break-Even Revenue	₹1,00,000
Expected Monthly Profit	₹9,000

Break-Even Calculation

1. Break-Even Units

$$\text{Break-Even Units} = \frac{\text{Fixed Costs}}{\text{Selling Price} - \text{Variable Cost}}$$

$$= \frac{45{,}000}{10{,}000 - 5{,}500} = \frac{45{,}000}{4{,}500} = \boxed{10 \text{ projects}}$$

2. Break-Even Revenue

$$10 \times ₹10{,}000 = \boxed{₹1{,}00{,}000}$$

Observation

NAVRO Living must complete approximately 10 gardening installation projects per month to cover its estimated monthly fixed and variable costs. At 12 projects per month, it can earn an estimated operating profit of ₹9,000. Increasing sales and controlling material costs can improve profitability.

B.2 Conclusion

A basic financial plan and break-even analysis were prepared for NAVRO Living. The estimated startup investment is ₹2,50,000, and the monthly fixed cost is ₹45,000. The break-even point is 10 gardening projects, equivalent to ₹1,00,000 in monthly revenue. This analysis helped me understand the relationship between costs, selling price, sales volume and profit, and how financial planning supports business decisions.

B.3 Question of Curiosity

1. What is the total startup investment required for **your business idea**?

   The estimated startup investment required for NAVRO Living is ₹2,50,000.

2. What are the major fixed and variable costs of your business?

   Fixed costs include salaries, rent, marketing and utilities. Variable costs include plants, pots, soil, labour and transportation for each project.

3. How did you decide the selling price of your product or service?

   The estimated average selling price is ₹10,000 per gardening installation project, considering material costs, labour, transportation and customer requirements.

4. How many units must your business sell to reach the break-even point?

   NAVRO Living must complete 10 gardening installation projects per month to reach the break-even point.

5. What will happen to your break-even point if your variable cost increases?

   The break-even point will increase because the contribution earned per project will decrease.

6. How can you reduce costs and increase the profitability of your business?

   I can purchase materials in bulk, reduce transportation expenses, use resources efficiently and promote the business through cost-effective digital marketing.

7. If your actual sales are below the break-even point, what action will you take?

   I will improve marketing, offer suitable packages, approach more customers, control expenses and seek referrals from satisfied customers.

8. What changes can you make to your business model to reach profitability faster?

   I can introduce regular plant-maintenance packages, offer premium garden designs, partner with nurseries and increase repeat bookings to generate more revenue.

Result

A simple financial plan and break-even analysis were successfully prepared for NAVRO Living. The estimated break-even point is 10 projects per month, with break-even revenue of ₹1,00,000. At an estimated monthly sales volume of 12 projects, the business can earn an operating profit of ₹9,000 before taxes and any costs not included in the estimates.